Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Donald F. Gaffney

<u>Counsel and Parties Please Note:</u>
Law and Motion in Department N16 is heard on Wednesdays at 9:00 a.m.

Date: March 18, 2026

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, <u>after contacting opposing party/counsel</u>. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion <u>only upon stipulation of all affected parties.</u>

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Gordon vs. Volvo Cars of North America, LLC	**TENTATIVE RULING:** **<u>Demurrer to First Amended Complaint</u>** Defendants Volvo Cars USA LLC and Volvo Cars Orange County demur to the first, second, third, fourth, fifth, and sixth causes of action asserted in Plaintiffs Rikki Dean Gordon and Ellory Gordon's First Amended Complaint ("FAC"). For the reasons set forth below, the demurrer is OVERRULED as to the first, second, third, and fifth causes of action. The demurrer is SUSTAINED, with leave to amend, as to the fourth and sixth causes of action. **<u>Statement of Law</u>** In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. *Blank v. Kirwan*, 39 Cal.3d 311, 318 (1985). A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1404-05.) Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1556.) Because a

		demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.) Although courts should take a liberal view of inartfully drawn complaints, (see Code Civ. Proc. § 452), it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought, (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.) Bare conclusions of law devoid of any facts are insufficient to withstand demurrer. (*Schmid v. City and County of San Francisco* (2021) 60 Cal.App.5th 470, 481; see Cal. Civ. Proc. Code § 425.10(a).) **1st-3rd Causes of Action (Violations of Civil Code Section 1793.2)** “ ‘A demurrer based on a statute of limitations will not lie where the action may be, but is not necessarily, barred. [Citation.] In order for the bar … to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows that the action may be barred. [Citation.]” [Citation.]’ [Citation.]” (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42.) The Song–Beverly Act does not include its own statute of limitations.” (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1305–1306.) Thus, “California courts have held that the statute of limitations for an action for breach of warranty under the Song-Beverly Act is governed by … section 2725 of the Uniform Commercial Code …. Under this statute, ‘(1) An action for breach of any contract for sale must be commenced within four years after the cause of action has accrued.... [¶] (2) A cause of action accrues when the breach occurs, regardless of the aggrieved party’s lack of knowledge of the breach. A breach of warranty occurs when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered. (Uniform Commercial Code, § 2725, subds. (1), (2).)’ ” (*Id.* at p. 1306.) The New Vehicle Limited Warranty at issue provides for repair of the Subject Vehicle for four years after delivery. (FAC ¶ 8, Exh. A.) “A promise to repair defects that occur during a future period is the very definition of express warranty of future performance” under both the

		Song-Beverly Act and the California Uniform Commercial Code. (*Krieger v. Nick Alexander Imports, Inc.* (1991) 234 Cal.App.3d 205, 217.) Plaintiffs took delivery of the Subject Vehicle on February 9, 2019. (FAC ¶ 7.) Thus, Plaintiffs' causes of action under the Song-Beverly Act for violations of the express warranty accrued no later than February 9, 2023, the last day of the applicable warranty. The four-year statute of limitations expires no later than February 9, 2027. Plaintiffs filed their initial complaint within this window and the first, second, and third causes of action are not time-barred on their face. The demurrer is overruled as to the first, second, and third causes of action. **<u>4th Cause of Action (Implied Warranty of Merchantability)</u>** Volvo argues Plaintiffs' claim for breach of implied warranty of merchantability is untimely. A cause of action for a breach of implied warranty accrues when the breach occurs. (Commercial Code, § 2725, subd. (2).) The Song-Beverly Act provides that the duration of the implied warranty of merchantability may extend to a period of not more than one year after purchase when accompanied by an express warranty of future performance spanning one year or longer. (Civ. Code § 1791.1, subd. (c).) This provision has been held to extend an implied warranty to future performance, such that "the implied warranty of merchantability may be breached by a latent defect undiscoverable at time of sale." (*Mexia*, *supra*, 174 Cal.App.4th at p. 1308.) While such breach must occur within the one-year time limit set forth in section 1791.1, subdivision (c), it need not be discovered or reported within such a period. (*Mexia*, *supra*, 174 Cal. App 4th at p. 1297 [noting that while the duration provision of section 1791.1(c) provides that an implied warranty of merchantability may not extend longer than one year, "[t]here is nothing that suggests a requirement that the purchaser discover and report to the seller a latent defect within that time period."].) "In the case of a latent defect ... the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery." (*Id*. at p. 1305.) Here, the express warranty was four years, so the implied warranty was extended to its outer limit of one year per section 1791.1, subdivision (c). Any breach of the implied warranty must have occurred on or before February 9, 2020, regardless of whether Plaintiffs discovered the breach during that period or after. Thus, the four-year statute of limitations period on Plaintiffs' implied warranty claim expired no later than February 9, 2024. Plaintiffs' claim for the breach of the implied warranty of merchantability is untimely on the

		face of the FAC. The demurrer is sustained as to the fourth cause of action. **<u>5th Cause of Action (Negligent Repair)</u>** Under California law, the statute of limitations for a negligent repair claim is three years. (Civ. Proc. Code § 338, subd. (c)(1).) The FAC does not specify the dates on which the attempted repairs took place, making it unclear whether the limitations period has expired on the face of the FAC. To plead a claim of negligence, a plaintiff must allege the following elements: the existence of a duty of care, breach of that duty, and an injury proximately caused by the breach. (*Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.) The FAC alleges Plaintiffs "delivered the Subject Vehicle to Defendant CARS OC for substantial repair on at least one occasion," that Defendant Cars OC "owed a duty to Plaintiffs to use ordinary care and skill in the storage, preparation, and repair of the Subject Vehicle in accordance with industry standards," that Defendant Cars OC "breached its duty to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards," and that Defendant Cars OC's "negligent breach of its duties owed to Plaintiffs were the proximate cause of Plaintiffs' damages." (FAC ¶¶ 79-82.) Although short on detail, this is sufficient to state a cause of action for negligent repair. The demurrer is overruled as to the fifth cause of action. **<u>6th Cause of Action (Fraudulent Inducement-Concealment)</u>** Volvo asserts Plaintiffs' fraud claim is untimely. Volvo contends Plaintiffs' fraud claim is barred by the three-year statute of limitations of Code of Civil Procedure section 338, subdivision (d). Plaintiffs argue that the fraud statute of limitations did not begin to run until Plaintiff discovered the facts constituting fraud. The FAC alleges Volvo's fraud occurred at the time of the sale (FAC ¶¶ 89, 92), which is more than three years before Plaintiffs filed their initial complaint. Accordingly, the sixth cause of action is untimely on the face of the FAC. For Plaintiffs' fraud claim to survive, tolling must apply. Plaintiffs do not allege how delayed discovery tolling, class action tolling, or fraudulent concealment applies. Moreover, the FAC does not allege sufficient facts to invoke the delayed discovery rule. Similarly, although the FAC pleads class action tolling applies,

the FAC does not identify the action that allegedly tolls Plaintiffs' claim. The allegations in the FAC are conclusory and are insufficient to assert any tolling doctrine. The FAC alleges Plaintiffs discovered Volvo's "wrongful conduct … shortly before the filing of the complaint, as the Vehicle continued to exhibit symptoms of defects following VOLVO's unsuccessful attempts to repair them." (FAC ¶ 41.) The allegations are not sufficient to support any ground for tolling.

The demurrer is sustained as to the sixth cause of action.

Should Plaintiffs wish to file an amended complaint that addresses the issues in this ruling, Plaintiffs must file and serve it within 30 days of service of notice of ruling.

Defendants to give notice.

Motion to Strike Portions of First Amended Complaint

Defendants Volvo Cars USA LLC and Volvo Cars Orange County move to strike the punitive damages and civil penalties allegations and prayer for relief asserted in Plaintiffs Rikki Dean Gordon and Ellory Gordon's First Amended Complaint ("FAC"). For the reasons set forth below, the motion to strike the civil penalty allegations and prayer for relief is DENIED, and the motion to strike the punitive damages allegations and prayer for relief is DENIED as moot.

Statement of Law

The court may "strike out all or any part of a pleading not drawn or filed in conformity with the laws of this state, a court rule or an order of the court." (Code Civ. Proc. § 436(b).) When ruling on a motion to strike, the allegations of the pleading are assumed to be true and read in their context. (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255.) The grounds for the motion must appear on the face of the pleading or from any matter of which the court is required to take judicial notice and the court may not consider extrinsic evidence. (Code Civ. Proc. § 437.)

Civil Penalties

The damages available to plaintiffs under the Song-Beverly Act are outlined in Civil Code section 1794. Section 1794, subdivision (a) provides that "[a]ny buyer of consumer goods who is damaged by a failure to comply with any obligation under this chapter or under an implied or express warranty or service contract may bring an action

		for the recovery of damages and other legal and equitable relief." Section 1794, subdivision (b) then provides more specific remedies for violations of section 1793.2, subdivision (d), including "replacement or reimbursement" and other Commercial Code remedies. The California Supreme Court has interpreted this provision to mean that "the replacement/restitution remedy is available only for breach of an express warranty." (*Gavaldon v. DaimlerChrysler Corp.* (2004) 32 Cal.4th 1246, 1262.) Another specific remedy is created by section 1794, subdivision (c), which awards a civil penalty if a plaintiff establishes that a violation was "willful." To trigger civil penalties, Plaintiffs must prove Volvo's failure to repurchase or replace the Subject Vehicle after a reasonable number of repair attempts was willful. (Code Civ. Proc., § 1794, subd. (c).) The reasonableness of the number of repair attempts is a question of fact to be determined in light of the circumstances, but at a minimum there must be more than one opportunity to fix the nonconformity. (*Robertson v. Fleetwood Travel Trailers of California, Inc.* (2006) 144 Cal.App.4th 785, 799 , citing *Silvio v. Ford Motor Co.* (2003) 109 Cal.App.4th 1205, 1208–1209 [statute uses plural "attempts"].) The FAC alleges Volvo made at least nine attempts to repair the Subject Vehicle. (FAC ¶¶ 13-21.) At the pleading stage, Plaintiffs' allegations are sufficient to support an inference of willfulness. The motion to strike the allegations and request for civil penalties is denied. **Punitive Damages** Volvo argues that punitive damages are not recoverable by Plaintiffs because their fraud claim fails, and because punitive damages are not recoverable under Plaintiffs' first four causes of action for violation of the Song-Beverly Consumer Warranty Act. Volvo further asserts that punitive damages are not justified in this case, against a corporate entity, because Plaintiffs have pled only conclusory allegations. Here, the only basis for an award of punitive damages is the alleged fraudulent inducement. (See *Covert v. FCA USA, LLC* (2022) 73 Cal.App.5th 821, 828, fn. 3. ["Although not specified in the complaint, we assume Covert's prayer for punitive damages was based on his cause of action for fraudulent concealment because the Song-Beverly Act provides for civil penalties, but not punitive damages."]; see also *Troensegaard v. Silvercrest Industries, Inc.* (1985) 175 Cal.App.3d 218, 227 ["[W]e believe that by seeking a

		'civil penalty' and also attorney's fees and all reasonable expenses as allowed by Civil Code section 1794, plaintiff had in effect elected to waive punitive damages under section 3294."].) As discussed above, the sixth cause of action for fraud is improperly pled as it currently stands. Given the ruling on the demurrer, the motion to strike punitive damages is denied as moot. Should Plaintiffs wish to file an amended complaint that addresses the issues in this ruling, Plaintiffs must file and serve it within 30 days of service of notice of ruling. Defendants to give notice.
2	Banuelos vs. Hyundai Motor America, a California Corporation	**TENTATIVE RULING:** **<u>Motion to Compel Arbitration</u>** Defendant Hyundai Motor America moves to compel Plaintiff Jose Alexis Jarquin to arbitrate the claims asserted in the Complaint and to stay this matter pending completion of arbitration. For the following reasons, the motion is GRANTED Plaintiff's evidentiary objections nos. 1-2 (relating to the Warranty) are overruled. The remainder of the objections are not material to the disposition or analysis below. (See Code Civ. Proc., § 437c(q).) . Defendant's request for judicial notice is granted. (Evid. Code § 452(d).) **<u>The Arbitration Provision</u>** Attached as Exhibit 2 to the Declaration of Ali Ameripour is the Owner's Handbook & Warranty Information ("Warranty"), which contains the following arbitration provision: > **PLEASE READ THIS SECTION IN ITS ENTIRETY AS IT AFFECTS YOUR RIGHTS** > If you purchased or leased your Hyundai vehicle in the State of California, you and we each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, use of your vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to the failure to conform a vehicle to warranty, failure

		to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through JAMS Mediation, Arbitration and ADR Services (JAMS) under its Streamlined Arbitration Rules & Procedures. We will pay all JAMS fees for any arbitration except for the initial filing fee of $250. The arbitration will be held in the city or county of your residence. To learn more about arbitration, including how to commence arbitration, you may call any JAMS office or go to www.jamsadr.org: This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us (including our affiliated companies) relating to or arising out of your vehicle purchase, use of your vehicle, or the vehicle warranty subject to arbitration to the maximum extent permitted by law. In any arbitration, the arbitrator shall be bound by the terms of this agreement and shall follow the applicable law. The arbitrator shall not have the power to commit manifest errors of law, and any award rendered by the arbitrator that employs a manifest error of law may be vacated or corrected by a court of competent jurisdiction for such error. The arbitrator may only resolve disputes between you and us and may not consolidate claims without the consent of all parties. The arbitrator cannot hear class or representative claims or requests for relief on behalf of others purchasing or leasing Hyundai Motor America vehicles as permitted by law. In other words, you and we may bring claims against the other only in your or our individual capacity, and not as a Plaintiffs or class member in any class or representative action to the maximum extent permitted by law. If a court or arbitrator decides that any part of this agreement to arbitrate cannot be enforced as to a particular claim for relief, then that claim (and only that claim) must be brought in court and must be stayed pending arbitration of the arbitrable claims. If arbitration is elected by either party, the parties collectively agree that they waive their right to a jury trial. In no events shall class arbitration be permitted.

> Notwithstanding the above, you may file a lawsuit in small claims court for any claims that otherwise require binding arbitration. This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16. Judgment upon any award in arbitration may be entered in any court having jurisdiction.
>
> **IF YOU PURCHASED OR LEASED YOUR VEHICLE IN CALIFORNIA, YOUR WARRANTY IS MADE SUBJECT TO THE TERMS OF THIS BINDING ARBITRATION PROVISION. BY ACCEPTING BENEFITS UNDER THIS WARRANTY, INCLUDING HAVING ANY REPAIRS PERFORMED UNDER WARRANTY, YOU AGREE TO BE BOUND BY THESE TERMS. IF YOU DO NOT AGREE WITH THESE TERMS, PLEASE CONTACT US AT OPT-OUT@HMAUSA.COM WITHIN THIRTY (30) DAYS OF YOUR PURCHASE OR LEASE TO OPT-OUT OF THIS ARBITRATION PROVISION.**

(Ameripour Dec., Ex. 2.)

<u>Federal Arbitration Act</u>

The Federal Arbitration Act ("FAA"), which includes both procedural and substantive provisions, governs agreements involving interstate commerce. There is no dispute that the FAA applies to the Warranty, as it states that "This agreement evidences a transaction involving interstate commerce and shall be governed by the Federal Arbitration Act, 9 U.S.C. §§ 1-16." (Ameripour Dec., Ex. 2.)

The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The Supreme Court has described this provision as reflecting both a "liberal federal policy favoring arbitration," and the "fundamental principle that arbitration is a matter of contract." (*AT & T Mobility LLC v.* Concepcion (2011) 563 U.S. 333.) The FAA permits agreements to arbitrate to be invalidated by "generally applicable contract defenses, such as fraud, duress, or unconscionability." (*Id.*) When deciding whether a valid arbitration agreement exists, courts generally apply "ordinary state-law principles that govern the formation of contracts." (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.)

		On a motion to compel arbitration, the court's role is limited to deciding: "(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute." (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 ["By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration."].) "[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration." (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.) **<u>The Arbitration Agreement is Properly Authenticated</u>** A party moving to compel arbitration bears an initial burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party "can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541.) Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219; see also Cal. Rules of Court, rule 3.1330 ["The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference."].) For this step, "it is not necessary to follow the normal procedures of document authentication." (*Condee,* at p. 218, 105 Cal.Rptr.2d 597.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (See *Gamboa, supra,* 72 Cal.App.5th at 165–166.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Id.*) If the opposing party meets its burden of producing evidence, then in the third step, the

moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party. (*Id*.)

Here, Defendant met its initial prima facie burden of establishing a written arbitration provision. Plaintiff does not dispute that the arbitration provision was in the Warranty. Plaintiff also does not dispute that Plaintiff accepted the benefits of that agreement, and did not opt out as Plaintiff was expressly allowed to do within 30 days of the purchase.

However, Plaintiff did not sign the warranty. Thus, Defendant must provide a basis for the Court to hold the arbitration provision in the Warranty is enforceable as against Plaintiff.

<u>Equitable Estoppel</u>

"Under certain circumstances, a nonsignatory to an arbitration agreement may seek to enforce it against a signatory. Whether such enforcement is permissible is a question of state law." (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1332 ("*Ochoa*") [citing *Kramer v. Toyota Motor Corp.* (9th Cir. 2013) 705 F.3d 1122, 1128; *Thomas v. Westlake* (2012) 204 Cal.App.4th 605, 614, fn. 7].) State law provides six theories by which a nonsignatory may compel or be bound to arbitrate. These theories include: " '(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary' [citations]." (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513 [collecting cases of each theory].) These exceptions are based on a significant relationship between the nonsignatory and a signatory that makes it equitable to allow the nonsignatory to enforce the agreement against a signatory. (*DMS Services, LLC v. Superior Court* (2012) 205 Cal.App.4th 1346, 1353 ["These exceptions ... 'generally are based on the existence of a relationship between the nonsignatory and the signatory, such as principal and agent or employer and employee, where a sufficient "identity of interest" exists between them' "]; *NORCAL Mutual Ins. Co. v. Newton* (2000) 84 Cal.App.4th 64, 76 ["The common thread of all the above cases is the existence of an agency or similar relationship between the nonsignatory and one of the parties to the arbitration agreement"].)

"When a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement. [Citations.] There is no reason why this doctrine should not be

		equally applicable to a nonsignatory plaintiff. When that plaintiff is suing on a contract—on the basis that, even though the plaintiff was not a party to the contract, the plaintiff is nonetheless entitled to recover for its breach, the plaintiff should be equitably estopped from repudiating the contract's arbitration clause." (*JSM Tuscany, LLC v. Superior Ct.* (2011) 193 Cal.App.4th 1222, 1239–40; see also *Boucher v. Alliance Title Co., Inc.* (2005) 127 Cal.App.4th 262, 269 [" 'A party may be estopped from asserting that the lack of his signature on a written contract precludes enforcement of the contract's arbitration clause when he has consistently maintained that other provisions of the same contract should be enforced to benefit him. .... [¶] A nonsignatory is estopped from refusing to comply with an arbitration clause "when it receives a 'direct benefit' from a contract containing an arbitration clause." [Citations.]' [Citation.]" Here, Plaintiff relies on the express warranties contained in the Warranty to bring claims under the Song-Beverly Consumer Warranty Act. The Complaint specifically alleges that "[t]hese causes of action arise out of warranty and repair obligations of HYUNDAI MOTOR AMERICA in connection with a vehicle Plaintiff purchased and for which HYUNDAI MOTOR AMERICA issued an express warranty." (Complaint, ¶¶ 4 and 8). Plaintiff contends that "Defendant was unable to conform Plaintiff's vehicle to the applicable express warranty after a reasonable number of repair attempts." (Complaint, ¶ 27.) Several recent federal court cases have found that this same Warranty agreement applied to Plaintiff's Song-Beverly claims under the doctrine of equitable estoppel. (See *Dardashty v. Hyundai Motor America* (C.D. Cal. 2024) 745 F.Supp.3d 986, 995; *Vargas-Lopez v. Hyundai Motor America* (C.D. Cal., Feb. 13, 2023, No. 822CV01526FWSJDE) 2023 WL 3035331; see *Guaschino v. Hyundai Motor America* (C.D. Cal., Sept. 27, 2023, No. CV2304354MWFJPRX) 2023 WL 8126846.) Plaintiff is simultaneously relying on the terms of the Warranty to assert claims while attempting to avoid the arbitration provision contained in the Warranty. Therefore, the court finds that equitable estoppel applies. **<u>The Arbitration Provision Covers the Dispute At Issue</u>** The arbitration provision applies to: "any claim or disputes between us . . . related to or arising out of your vehicle purchase, use of your vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation

		claims related to the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price . . ." (Ameripour Dec., Ex. 2.) Therefore, the agreement to arbitrate contained in the Warranty is broad enough to encompass Plaintiff's claims. The Court therefore grants the motion to compel arbitration, and the action is stayed pending the completion of arbitration An ADR Review Hearing is set for August 25, 2026, at 10:00 a.m. in Department N15. Defendant shall give notice of this ruling.
3	Carrasco vs. Tesla, Inc.	**TENTATIVE RULING:** **<u>Motion to Compel Arbitration</u>** Defendant Tesla, Inc. moves to compel arbitration of the claims asserted by Plaintiff Valeria Carrasco. For the following reasons, the unopposed motion to compel arbitration is GRANTED. Defendant's request for judicial notice is granted. (Evid. Code § 452(d).) Both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA") require the existence of a valid arbitration agreement, before arbitration can be compelled. (See 9 U.S.C. § 2 and Code Civ. Proc., § 1281.2.) Code Civ. Proc. § 1281.2 provides, *inter alia*: Under either authority, the moving party bears the burden of proving the existence of an applicable agreement and the party opposing arbitration bears the burden of proving any defense. (See *Engalla v. Permanente Medical Group, Inc*. (1997) 15 Cal.4th 951, 972 ["The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense"]; See also *Installit, Inc. v. Carpenters 46 Northern California Counties Conference Board* (N.D. Cal. 2016) 214 F.Supp.3d 855, 859 ["The party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense…."].) CRC 3.1330 requires that a petition to compel arbitration or to stay proceedings pursuant to Code Civ. Proc. § 1281.2 must state, in

		addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be attached to the petition and incorporated by reference While there is a policy in favor of arbitration and doubts are to be resolved in favor of arbitration, there is no public policy in favor of compelling persons to accept arbitration of controversies they have not agreed to arbitrate. (*Id.* at 739*; Mitri v. Arnel Management Co.* (2007) 157 Cal. App. 4th at 1170; *Greenspan v. LADT, LLC.* (2010) 185 Cal. App. 4th 1413, 1437.) Here, Defendant has provided evidence of an Arbitration Provision in the Motor Vehicle Order Agreement and Retail Installment Sale Contract that is undisputed by Plaintiff. (Kim Dec., ¶¶ 3-11 and Exs. 1 and 2.) In determining whether a contractual arbitration clause covers a particular dispute, the primary focus is on whether the clause at issue is "broad" or "narrow." (*Bono v. David* (2007) 147 Cal. App. 4th 1055, 1067.) In determining the scope of an arbitration clause, trial courts attempt to give effect to the parties' expressed intentions. (*Victoria v. Superior Court* (1985) 40 Cal. 3d 734, 744.) "[Courts] interpret the intent and scope of the agreement by focusing on the usual and ordinary meaning of the language used and the circumstances under which the agreement was made. A contract must receive such an interpretation as will make it lawful, operative, definite, reasonable, and capable of being carried into effect, if it can be done without violating the intention of the parties. The court must avoid an interpretation which will make a contract extraordinary, harsh, unjust, or inequitable. In cases of uncertainty not removed by the preceding rules, the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist." (*Powers v. Dickson, Carlson & Campillo* (1997) 54 Cal. App. 4th 1102, 1111-12.) Here, the scope of the arbitration provision in the Retail Installment Sale Contract is very broad and encompasses the claims asserted by Plaintiff against Defendant. It covers "any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us." The arbitration provision thus covers the claims asserted by Plaintiff against Defendant. (Kim Dec., Ex. 2.)

		Plaintiff did not oppose the motion and thus provides no basis to deny the motion to compel arbitration. Accordingly, the Motion to Compel Arbitration is granted, and the action stayed, pending the completion of arbitration. (Code Civ. Proc. § 1281.4.) An ADR Review Hearing is set for 9:00 a.m. on August 25, 2026, in Department N16. Defendant shall give notice of this ruling.
4	Banc of California vs. Hotel Laguna, LLC	**TENTATIVE RULING:** For the reasons set forth below, Receiver Lance Miller's Motion for Clarification and Enforcement of Receivership Order is GRANTED, in part, and DENIED, in part. Receiver moves for two separate, but related orders. First, Receiver moves for an order confirming the property held by Hotel Laguna Beach Club, LLC ("Beach Club"), including bank accounts, is Receivership Property. Second, Receiver moves for an order compelling Defendant's compliance with the October 1, 2025, Order Granting Application for Appointment of Receiver and Preliminary Injunction and return of wrongfully taken funds. **<u>Relevant Facts to Both Issues</u>** On September 30, 2025, the parties jointly stipulated to the appointment of a receiver. The following day, October 1, 2025, the Court issued an order appointing Lance Miller of Pivot Management Group, LLC as the Receiver, effective "automatically" and "without further action by either of the Parties or the Court" upon the occurrence of any of three specified events. (The "Receivership Order,") ROA 99, at p. 4.) One of those events was Plaintiff not receiving by October 3, 2025, the deposit contemplated by the Letter of Intent ("LOI") between Plaintiff and Defendant's affiliate Natfund II LLC ("Natfund") for Natfund's purchase of the loan underlying this litigation. (Id. at 2:14-23, 4:7-16). It is undisputed that Defendant and Natfund failed to timely make that payment by October 3rd. Thus, by the terms of the stipulation and Receivership Order, the Receiver was automatically appointed on October 4, "without further action by either of the Parties or the Court." (Ibid.) The Receivership Order defines Receivership Property as the real property known as Hotel Laguna, located at 425 S. Coast Highway,

Laguna Beach, California 92651 (the “Property”), together with the rents, revenues, profits, and proceeds thereof, business operations related to the Property, any causes of action to the extent that such causes of action constitute Property. (The Receivership Order, at 5:6-9, 5:11-20.)

Upon becoming Receiver, Receiver made attempts to assess and assume control of Receivership Property. Receiver contends Defendant stymied Receiver’s efforts by failing to disclose deposit accounts at Nano Bank, including the account ending in -7900 (the “-7900 Account”). Receiver discovered the existence of the -7900 Account on October 10. Receiver also discovered that after the effective date in which Receiver was appointed, but before Receiver’s discovery of the -7900 Account, Defendant caused to be transferred $210,000 from the -7900 Account. This amount included $161,125.34 transferred from the -7900 Account to a separate Nano Banc account ending in -6191 (the “-6191 Account”) between October 6 and 9. The -6191 Account is held in the name of the Beach Club, the entity the Receiver understands operates the beach club located on the Property. Receiver has demanded return of the money, but has been unsuccessful.

Defendant contends the funds were used for a legitimate purpose, such as to pay wages and vendors, and there was a void in management at the time payment was made. Defendant also contends the Receiver did not have authority to act until late mid-late October.

1. **<u>Is Beach Club Property, Including Bank Accounts, Part of the Receivership Property? No.</u>**

The Receiver contends that the Beach Club’s managing member is MOM CA—the same manager for Hotel Laguna. (Mtn, p. 5:8-9, citing deNeve Decl., Exs G-H.) One of MOM CA’s ousted members has stated that there is no “functional difference” between Hotel Laguna and Beach Club as they are part of a singular enterprise that generates revenue at the Hotel Laguna property (Mtn, p. 5:10-16, citing Decl. of Mohammad Honarkar in Supp. of Joinder to Plf.’s Mot. for Appointment of Receiver & Prelim. Inj. (Sept. 22, 2025), Paras. 1, 2, 5); Beach club, restaurant, and bar are the only operations at the Hotel Laguna (Mtn, p. 2:17-19, citing Decl. of Ira Kharasch in Supp. of Ex Parte App. for Appointment of Receiver & Prelim. Inj. (Aug. 20, 2025) at ¶ 14); defense counsel represented that Beach Club employees were, in fact, Hotel Laguna employees (Mtn, p. 6: 10-11, citing deNeve Decl., Ex. E); and Defendant represented that the money taken from the -7900 Account and transferred to the -6191

		Account was used to pay Hotel Laguna vendors (Mtn, p. 5:20-6:1; citing Honarkar Decl. at Para. 8). Receiver contends that these statements and representations by Defendant and its counsel are consistent with the evidence that MOM CA treats Defendant and Beach Club as part of the same property subject to the Receivership Order. Thus, Receiver concludes that the Beach Club and its accounts are part of the Receivership Property because it is a "business operation[] related to the Property." Defendant does not dispute these facts, but contends Beach Club, and its assets, are not part of the Receivership Property, because Beach Club and Hotel Laguna are two separate and distinct legal entities and that an email by defense counsel not objecting to Receiver managing Beach Club's employees does not give Receiver the overreaching ability to take Beach Club's assets. Defendant contends the Receiver cannot simply take Beach Club's property via this motion and without due process in this summary way. Receivership Property is defined by the Receivership Order. The Order does not define Receivership Property to include Beach Club's bank accounts. It is undisputed that Beach Club and Hotel Laguna are two separate legal entities. Neither MOM CA nor Beach Club are parties to this action. Rather, Receiver contends that they are both managed by MOM CA and are treated as a singular enterprise and funds were used to pay another MOM CA related entity, not wages, and because Receiver is already managing the employees and operations of both Hotel Laguna and Beach Club, the Beach Club and its assets are part of the Receivership Property. But being managed by the same non-party prior to Receivership and currently, does not render the Hotel Laguna and Beach Club or their assets interchangeable for purposes of the receivership in this action. Defendant cites *Malone v. Rhode Island Ins. Co.* (1952) 115 Cal.App.2d 238 for the proposition that the receivership court generally may not, by summary order, compel the turnover of property held by a nonparty asserting an independent claim of ownership; instead, the dispute must be litigated with appropriate procedural protections. Receiver contends that this case supports their position that Beach Club property is part of the Receivership as the property and funds at issue are already within the Receiver's possession by virtue of the fact that the Receiver has been managing the employees and operations of both Hotel Laguna and Beach Club since the Receivership Order took effect.

		In *Maloney*, an insurance broker procured an insurance policy for one of his clients, delivered the policy, and received the full premium. (Id., at p. 239.) The client later requested the broker to cancel the policy, to deliver the earned premium to the commissioner as conservator of the insurance company, and to return the balance to the client. (Id.) Despite the commissioner's direction to pay over the entire premium, the broker returned the unearned premium to the client. (Id.) Pursuant to an order to show cause proceeding instituted by the commissioner, the broker was ordered to pay the full premium, less the broker's commission, to the commissioner. (Id.) On an appeal by the broker, one of the issues raised was whether the order to show cause procedure was an appropriate means of collecting the claim. (Id., at p. 249.) The reviewing court upheld the summary procedure, reasoning that the premium paid to the broker was an asset of the company which, because of the agency relationship, was "constructively in the possession of (the insurance company)." (Id., at p. 251.) The court held that the agent had a fiduciary duty to remit to the insurance company the premium collected and that when it breached that fiduciary duty by returning part of the premium to the client, the agent could be held accountable in a summary proceeding for disposing of the asset. (Id.) The reviewing court's decision was, as it noted, in accord with the settled principle that in marshalling the assets of an insolvent person, a receivership court has the power to proceed summarily to recover assets in the constructive possession of the receiver. (Id.) But here, the Court, by virtue of the Receivership Order, did not constructively place Beach Club and its assets in the Receivership; only Hotel Laguna's property (e.g. -7900 Account). Accordingly, the Court cannot "confirm" that property and accounts held by Hotel Laguna Beach Club, LLC, including a Nano Banc bank account with an account number ending in -6191, is Receivership Property. The motion is DENIED as to this request. **2. <u>Did Defendant and/or Affiliates Improperly Transfer Funds out of Receivership Property? Yes.</u>** Receiver contends that the Receivership Order, which included a preliminary injunction against Defendant, became effective automatically on October 4th, when Defendant and Natfund failed to timely make that payment by October 3rd, regardless of when Receiver executed his oath and posted the bond. Upon becoming Receiver, Receiver made attempts to assess and assume control of

		Receivership Property. Defendant stymied Receiver's efforts by failing to disclose deposit accounts at Nano Bank, including the -7900 Account. Receiver discovered the existence of the -7900 Account on October 10. Receiver also discovered that after the effective date in which Receiver was appointed, but before Receiver's discovery of the -7900 Account, Defendant caused to be transferred $210,000 from the -7900 Account. This amount included $161,125.34 transferred from the -7900 Account to the Beach Club's -6191 Account between October 6 and 9. Receiver contends this was done in violation of the Receivership Order and without consent of the Receiver. Defendant contends that at the time these transfers were made between October 6-9, Receiver had not yet assumed legal authority over the estate. Receiver did not execute his oath and posted a bond, which were required before assuming his duties, until mid-late October. Failure to comply with Code of Civ. Proc. § 567 by Receiver caused a vacuum in authority and payment to vendors and employees were due. Failure to make payroll would have subjected Hotle Laguna to severe penalties. Thus, Defendant took money from the -7900 Account, transferred it to the -6191 Account to pay these obligations in good faith. The Court's equitable powers should not be manipulated to sanction a defendant for preventing the collapse of the receivership estate while the Receiver neglected his fundamental statutory duties. Accordingly, Defendant requests the Court to deny Receiver's motion. Here, the Receivership Order provides that Receiver's appointment became effective "without further action by either of the Parties or the Court" upon the occurrence of any of three specified events. One of those events was Plaintiff not receiving by October 3rd, the deposit contemplated by the Letter of Intent ("LOI") between Plaintiff and Defendant's affiliate Natfund II LLC ("Natfund") for Natfund's purchase of the loan underlying this litigation. Receiver was therefore automatically appointed on October 4, 2025, and the Receivership Order also took effect on that date. The Receivership Order, which became effective on October 4, 2025, includes an injunction beginning on pg. 14 which bars any party "during the pendency of the receivership" from "[t]ransferring, directly or indirectly, any interest . . . in any manner the Receivership Property or proceeds thereof." Defendant and all of its customers, principles, investors, collectors, stockholders, members, managers, lessors, other creditors, judgment holders, and/or other persons seeking to establish or enforce any claim, debt, right, lien, and/or interest against Defendant was stayed from the acts enumerated,

		including the aforementioned, except by leave of Court or by Receiver's express prior written consent. It is undisputed that neither leave of Court nor the Receiver's express prior written consent were provided prior to Defendant's withdrawal of funds from the -7900 Account between October 6-9, 2025. Accordingly, the account transfers that took place between October 6-9, 2025, violated the stay imposed by the Receivership Order. Moreover, neither Code of Civ. Proc. § 567 (requiring a receiver to take an oath and provide an undertaking before entering upon the duties of a receiver) nor the case cited by Defendant, *Sweins v. Superior Court in and for Monterey County* (1936) 16 Cal.App.2d 336, assist Defendant here. The Receivership Order, including the injunction prohibiting Defendant from transferring Receivership Property, became effective on October 4th, regardless of when the Receiver filed the oath and/or bond. Thus, Defendant's unauthorized removal of funds from -7900 Account between October 6-9, 2025, violated the Order and must be returned. (Code of Civ. Proc. § 128, subd. (a)(4) [Every court has the power to compel obedience to its orders in an action or proceeding pending therein].) Based upon the foregoing, this portion of the motion is granted and Defendant and its principles, investors, collectors, stockholders, members, or managers are ordered to return the balance of the $161,125.34 in Receivership Property removed from the -7900 Account within 30 days' notice of this order. Receiver to give notice.
5	Doe vs. Serrano	**TENTATIVE RULING:** For the reasons set forth below, Defendant Hollie Talavera Serrano's motion to set aside default entered 08/12/2025 is GRANTED. No later than 15 days from the date of this order, Defendant shall file and serve the proposed Answer attached as Exhibit A to the Paulson Declaration. **<u>Reply Brief</u>** As an initial matter, the court record includes no proof of service showing the reply papers were served on Plaintiff. (*See* Code Civ. Proc., § 1005, subd. (b) [providing that at least five court days before the hearing, all reply papers just be served with the court and a copy

served on all parties to the action].) Therefore, the court exercises its discretion not to consider Defendant's reply brief (ROA # 42).

Statement of Law

Code of Civil Procedure Section 473, subdivision (b), provides that: "The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect." An application under Section 473(b) must be accompanied by a copy of the answer or other pleading proposed to be filed therein; and be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. (Code Civ. Proc., § 473, subd. (b).)

"Because the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default." (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233; Weil & Brown, Cal. Prac. Guide: Civ. Proc. Before Trial (Rutter Group 2025) ¶ 5:401.)

Merits

Here, Defendant Serrano shows default was entered against him as a result of mistake, inadvertence, surprise, and/or excusable neglect. Defendant Serrano was incarcerated at the time he was served with process, and he was not aware he could request a stay of the proceedings. (Serrano Decl. ¶ 4.) After being released, Defendant retained counsel, and in November 2025, counsel attempted to resolve the issue with Plaintiff informally. (Paulson Decl. ¶ 4.) Plaintiff refused to stipulate (*ibid*), and Defendant filed the motion about two and a half months later, on 02/04/2026.

To the extent Plaintiff argues Defendant has no meritorious defense, Plaintiff does not show that Defendant's guilty plea in the criminal case precludes any defense here. Specifically, the Complaint in this civil action includes allegations and damages claims not addressed by Defendant's criminal plea. For example, the Complaint alleges Defendant damaged Plaintiff's residence (Compl. ¶ 26(b)), that Plaintiff was harmed in an amount of "no less than $2,000,000" (*see, e.g.,* Compl. ¶ 22), and that Plaintiff is entitled to recover punitive damages from Defendant (*see, e.g.,* Compl. ¶ 31).

Defendant complies with the procedural requirements, by: (1) making this application within a reasonable time on 02/04/2026—less than

		six months of entry of default and about five months after being released from custody; and (2) submitting a proposed answer. (Paulson Decl. Ex. A.) Defendant to give notice.
6	Mrcela Development LLC vs. Nguyen	**TENTATIVE RULING:** For the reasons set forth below, Defendants/Cross-Complainants, Thomas Nguyen and Mary Nguyen, individually and as trustees of The Nguyen Living Trust dated July 24, 2023 ("Defendants")'s motion to expunge lis pendens is DENIED. Plaintiff/Cross Defendant Mrcela Development, LLC ("Plaintiff")'s objections to the declarations of Meghan Murphey are OVERRULED. Both parties' requests for attorneys' fees are DENIED. **<u>Statement of Law</u>** Code Civ. Proc. § 405.30 provides: "At any time after notice of pendency of action has been recorded, any party, or any nonparty with an interest in the real property affected thereby, may apply to the court in which the action is pending to expunge the notice. However, a person who is not a party to the action shall obtain leave to intervene from the court at or before the time the party brings the motion to expunge the notice. Evidence or declarations may be filed with the motion to expunge the notice. The court may permit evidence to be received in the form of oral testimony, and may make any orders it deems just to provide for discovery by any party affected by a motion to expunge the notice. The claimant shall have the burden of proof under Sections 405.31 and 405.32." The court "shall" grant a motion to expunge if either of the following conditions exists: (1) The pleading upon which the *lis pendens* is based does not contain a real property claim (Code Civ. Proc., § 405.31); or (2) The claimant has not established by a preponderance of the evidence the probable validity of the real property claim.

(Code Civ. Proc., § 405.32).

"[T]he recorder of a notice of lis pendens now has the burden of persuading the court that he will likely prevail when resisting an expungement motion." (*Amalgamated Bank v. Super. Ct.* (2007) 149 Cal.App.4th 1003, 1007).

Real Property Claim

"A real property claim is 'one that affects title or possession of the subject property.'" (*De Martini v. Superior Court* (2024) 98 Cal.App.5th 1269, 1278).

Here, Plaintiff asserts causes of action for breach of contract, specific performance, bad faith, and declaratory relief arising out of the sale of real property located at 125 Canyon Creek, Irvine, California 92603.

Defendants acknowledge that Plaintiff asserted a claim affecting real property by way of its second cause of action for Specific Performance. The court also finds that the elements for specific performance have been sufficiently alleged. (See *Darbun Enterprises, Inc. v. San Fernando Community Hospi*tal (2015) 239 Cal.App.4th 399, 409, fn. 5 [elements]; see also Compl., ¶¶ 6, 23 Ex. A [existence of a contract, terms of which are sufficiently definite]; ¶ 23 [consideration is adequate]; ¶ 18 [Plaintiff's performance or excuse for non performance]; ¶ 15 [seller's breach], and ¶ 24 ["Plaintiff's legal remedy is inadequate, the damages resulting from Defendants' breach of the VLPA is extremely difficult to determine and establish with sufficient certainty, and performance of the contractual terms can be done with a minimum of involvement of the Court."]).

Accordingly, the court finds that Plaintiff has asserted a real property claim.

Probability of Prevailing

Defendants move to expunge lis pendens on the basis that Plaintiff cannot show a probability of prevailing. "[T]he court shall order that the notice be expunged if the court finds that the claimant has not established by a preponderance of the evidence the probable validity of the real property claim." (Code Civ. Proc., § 405.32; *Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 651.)

		"'Probable validity,' with respect to a real property claim, means that it is more likely than not that the claimant will obtain a judgment against the defendant on the claim." (Code Civ. Proc. § 405.3; see also *Newell v. Superior Court* (2024) 107 Cal.App.5th 728, 735 [Probable validity "means that it is more likely than not that the claimant will obtain a judgment against the defendant on the claim."]). Defendants contend that Plaintiff cannot show that Defendants breached the VLPA. Defendants also contend that Plaintiff cannot show that it was ready, willing and able to perform the contract. **<u>Performance Under the Vacant Land Purchase Agreement (VLPA)</u>** Plaintiff has established the existence of a contract, the VLPA, the terms of which are sufficiently definite. (Compl., Ex. A). With regards to the element of Plaintiff's performance/non-performance, Plaintiff contends that it complied with the VLPA by removing all buyer contingencies, except for the loan contingency and appraisal contingency on June 9, 2025, which is excused due to Defendant's actions of failing to reconcile the VLPA with the Right of First Refusal (ROFR), and by delaying the completion of documents to the Irvine Company. Plaintiff sets forth the following: An Instrument Imposing a Mortgage Lien, Option to Repurchase and Right of First Refusal ("ROFR") was recorded against the Subject Property in 2007 as a lien and encumbrance on title. (Mrcela Decl. at Ex. F, § 8.1.) The ROFR gives the Irvine Co. the sole and absolute discretion on a case-by-case basis to consent to the transfer of the Property to any potential buyer. (Id., §2.2.) Pursuant to the ROFR, Irvine Co. needs to be put on notice of the potential transfer and provided with a terms of the proposed transfer, including the purchase price, method of payment, among other items. Irvine Co. has 60 days after receipt of the notice to indicate in writing whether it will purchase the Property interest to be sold on the same terms as stated in the Notice. (Id., §5.1(b).) Jaksa Mrcela ("Mrcela") is a real estate developer and the owner of Plaintiff Mrcela Development, LLC. (Mrcela Decl., ¶ 2). Mrcela and Defendants agreed to a $3.4 million dollar purchase price. (Mrcela Decl., ¶ 5). Plaintiff was instructed to direct all further

negotiations with Defendants' agents, Doug and Rachel Swardstrom (Mrcela Decl., ¶¶ 4, 5). Mr. Swardstrom disclosed to Plaintiff that the existence of the lien recorded on the Property's title, the ROFR, only had 30 days after receiving notice of a perspective Property sale to approve the sale or exercise its right of first refusal. (Mrcela, ¶ 6). However, he also represented that he could obtain the Irvine Co.'s consent to a proposed transaction in two weeks max from when the purchase agreement was entered. (Mrcela, ¶ 6).

On 5/2/25, Plaintiff provided Swardstrom with a preapproval letter of funding from Dalton DeNatale at Capital Funding Financial, LLC. (Mrcela Decl., ¶ 7). He was pre-approved for the purchase price of \$3.4 million. The letter also stated that Capital Funding had successfully completed multiple projects with Plaintiff and had full confidence in its ability to perform on the acquisition of the Property. (Mrcela Decl., ¶ 8). Mrcela has a strong working relationship with Capital Funding and has closed more than 30 real estate transactions with Capital Funding over the past 4 years. (Mrcela Decl., ¶ 9).

The parties began drafting the VLPA. The VLPA originally included a proposed Addendum No. 1, which stated "This transaction and close of escrow shall be subject to approval by the Irvine Company pursuant to the ROFR recorded against the property. Both buyer and seller are advised to review this document and all restrictions contained therein and acknowledge that this purchase agreement will be submitted to Irvine Co." The sellers agreed to this term, and the VLPA was fully executed on May 18, 2025. (Mrcela Decl., ¶ 10).

When Mrcela signed the VLPA, he did not know that the Irvine Co. actually had up to 60 days upon notice to review and consent. (Mrcela Decl., ¶ 11). He did not learn of the 60 day review period until he received a copy of the ROFR and preliminary title report from his agent, Cari Young, on 5/22/25. (Mrcela Decl., ¶ 11).

Defendants contend that they texted Plaintiff a copy of the ROFR on 4/23/25. Plaintiff admits Mr. Mrcela received a text message from Tom Nguyen on this date, but declares he did not know the embedded pdf in the text entitled "125 CC Lot Sale Requirements" was a copy of the ROFR. (Mrcela Decl., ¶ 13).

On 5/21/25, Plaintiff paid the \$100,000 earnest money deposit into escrow. (Mrcela Decl., ¶ 14). On 5/28/25, Mr. DiNatale of Capital Funding emailed Granite Escrow, Cari Young and Plaintiff to inform them that Irvine Co. holds a ROFR on the Subject Property, with a 60 day response period, even though the VLPA reflects only a 30-day close of escrow. (Mrcela Decl., ¶ 16). He further explained that

		underwriting requires the agreement to align with the recorded ROFR to meet lender guidelines. (Mrcela Decl., ¶ 16). Accordingly, Mr. DiNatale requested that the VLPA be amended to reflect a closing date on or before 60 days from execution. (Mrcela Decl., ¶ 16). Plaintiff declares that during escrow, Tom Nguyen requested that Plaintiff pay $300,000 in cash for "project documentation" outside the terms of the VLPA. After Plaintiff declined to make that off-contract payment for the project documentation, Defendants became uncooperative regarding the VLPA amendment. (Mrcela Decl., ¶ 18). On June 7, 2025, Defendants issued a notice to perform demanding that Plaintiff remove all contingencies "within two days of receipt", or June 9, 2025. (Mrcela Decl., ¶ 19). Plaintiff was unable to do so because Defendants refused to enter into an amendment to the VLPA which would extend the close of escrow until Irvine Co. waived the ROFR. (Mrcela Decl., ¶ 20). Plaintiff also set forth the following: The VLPA provides that "Seller shall within **7 days** after request, give Escrow Holder necessary information to clear title." (Mrcela Decl., Ex. C, at paragraph 16(C.)). The VLPA also states that the Seller shall, within the time specified in paragraph **3N(1)**, disclose to Buyer all matters known to Seller affecting title, whether of record or not." (Mrcela Decl., Ex. C, at paragraph 16(D.)). Paragraph 3N1 required a time for performance of 7 days after Acceptance. On 5/22/25, Julie Parker at Granite Escrow emailed Cyndi Akers at Irvine Co. to inform her that there was a pending transaction for the Property. Ms. Parker's email provided the Irvine Co. with the escrow instructions and the VLPA. (Farrell Decl., Ex L.) The email asked Ms. Akers to confirm the requirements needed from Irvine Co. to approve the transaction. On 5/27/25, Ms. Akers with Irvine Co. emailed Julie Parker and copied Mr. Swardstrom requesting, among other documents, "letters from buyer, buyer's agent, seller and seller's agent stating that there is no other consideration, for personal or real property, other than what is stated in the escrow instructions." (Farrell Decl., Ex. M at ¶ 5.b). On 6/2/25, Plaintiff's agent emailed the Swardstroms about the letters of consideration. (Farrel Decl., Ex. F).

		On 6/3/25, Ms. Akers emailed Mr. Swardstrom again reminding him that Irvine Co. still needed the letter of consideration. (Farrel Decl., Ex. G). The last day for the Buyer to remove contingencies was June 4, 2025. On that date at 8:36 AM, Ms. Akers from the Irvine Co. emailed Ms. Parker at Granite Escrow that she was ready to send the transaction to Irvine Co.'s Finance Team for review and approval but was still waiting on the Letters of Consideration and Sellers' estimated closing statement. (Farrell Decl., Ex. O.) Only Tom Nguyen, Plaintiff, and the agents ultimately signed Letters of Consideration and submitted them to escrow. (Farrell Decl., Ex. P.) Co-seller defendant Mary Nguyen never signed a Letter of Consideration. Plaintiff contends that because Sellers had failed to timely provide all the letters, escrow was not able to send the Irvine Co. a complete package with all the documents and information for it to evaluate the transaction and provide consent until 6/10/25. On 6/11/25, Sellers issued a written cancellation of contract for Buyer's failure to remove all contingencies. On 6/12/25, the Irvine Co. emailed escrow its letter of Consent of Transfer, stating that "ICDC elects not to exercise its right of first refusal", and requested that Mary Nguyen provide the signed Letter of Consideration so that the Irvine Co. could complete its file. (Farrell Decl., Ex. R.) Plaintiff cites to Miller & Starr, Cal. Real Estate for the notion that a party cannot claim default by the other party as justification to terminate the escrow without either performing or having tendered performance to the other party. This has been reaffirmed in *Conservatorship of Buchenau* (2011) 196 Cal.App.4th 1031, where the court held: "even if time for performance has expired, a party cannot claim default by the other party as justification to terminate the escrow without either performing or having tendered performance to the other party." (*Id.* at 1039). The VLPA requires that "Seller shall within **7 days** after request, give Escrow Holder necessary information to clear title." Mr. Nguyen and the Swardstroms signed the letter on 6/4/25. Pursuant to the VLPA, the sellers were required to provide their letters of consideration by 6/3/25. Mary Nguyen never signed hers. Accordingly, Plaintiff has established by a preponderance of the evidence that Defendants failed to comply with their obligations under the VLPA.

Defendants contend that their failure to comply with the 7-day requirement did not cause Plaintiff's failure to move the loan or appraisal contingencies.

Mr. DiNatale of Capital Funding Financial, LLC declared that Capital Funding required Irvine Co.'s consent and waiver before funding because otherwise Sellers could not pass clean title to Plaintiff. (DiNatale Decl., ¶ 10). Pursuant to this declaration, it appears that Capital Funding would have funded the property even if Defendants were not required to amend the VLPA to account for the 60-day notice "discrepancy", as long as Irvine Co. provided its consent and waiver.

Both parties provide that Irvine Co. sent its letter of consent one day after Defendants sent their cancellation notice on June 11, 2025, but still required that Mary Nguyen send her letter of consideration in order to complete its file. Had Defendants complied with the 7-day requirement set forth in the VLPA and signed the letter of consideration earlier, Irvine Co. very well could have sent its consent on or before the cancellation date of 6/11/25, and this would have satisfied the requirements for Capital Funding.

However, Defendants also argue that their conduct did not cause Plaintiff's failure to comply with the appraisal contingency. Mr. Mrcela declares that "I was unable to remove Plaintiff's loan contingency on June 9, 2025, because on that date the ROFR was still in place and Irvine Co. had not approved the transaction. Capital Funding could not fund escrow while the ROFR was still outstanding … ." (Mrcela Decl., ¶ 20). But he does not declare that this was the reason for his failure to comply with the appraisal contingency as well.

However, and as stated above, a party cannot claim default by the other party as justification to terminate the escrow without either performing or having tendered performance to the other party. At the time Defendants issued the 6/7/25 Notice to Perform to Buyer to remove all contingencies "within two days of receipt" (by 6/9/25), Ms. Nguyen had still not performed and had still not sent her signed letter of consideration, Mr. Nguyen had belatedly complied with his, and Irvine Co. still required Ms. Nguyen's signed letter for completion of its file.

Accordingly, Plaintiff has established by a preponderance of the evidence that Defendants cancelled escrow due to Plaintiff's failure to complete its obligations by 6/9/25, when, in fact, they had not timely completed theirs.

		<u>Ready, Willing and Able to Perform the Contract</u> Defendants contend that Plaintiff could not demonstrate that he was ready, willing, and able to perform the contract. A "buyer seeking specific performance of a contract for the sale of realty has the burden of both pleading and proving that he was ready, willing and able to perform the contract." (*Am-Cal Investment Co. v. Sharlyn Estates, Inc.* (1967) 255 Cal.App.2d 526, 539). In Defendants supplemental brief and declaration in support thereof, Defendants contend that Plaintiff actually obtained letters of interest from other lenders, including Private Money Solutions and Crystal Capital Lending, because it was not satisfied with the preapproval of Capital Funding LLC. (See Murphy Decl., Exs. 8, 9 and 10). Defendants contend that not one of those lenders had advanced in the loan approval process and underwriting process throughout escrow and into the time frame in which the loan contingency was to have been removed, Plaintiff had not secured funding it was ready, willing, and able to proceed with and had no funding source that was legally bound to advance the funds Mrcela needed to close the deal. In *Behniwal v. Mix* (2005) 133 Cal.App.4th 1027, the sellers to a property argued that the buyers were not "ready, willing and able to perform". The Buyers had acquired $60,000 for the downpayment but spent $60,000 on attorneys' fees, and their pre-approval had expired. (*Id.* at 1044). While they secured a loan from Mr. Behniwal's brother for the deposit; however, they had neglected to obtain a loan or even ask for an extension on their pre-approval. (*Id.*). The appellate court disagreed with the sellers' argument, reasoning that "[t]he flaw in the argument is the casual assumption that ability to complete the transaction could *only* be shown by the presence of a current lender, legally bound to give the buyers a loan for so much of the contract price as the buyers otherwise cannot pay in cash." (*Id.* at 1044). The court concluded that "there was easily enough evidence to show that the Behniwals were ready, willing, and able to perform" because "they obtained a pre-approval on a loan" and "had arranged with Mr. Behniwals' brother to help with the deposit since they had spent their original savings for the deposit on attorney's fees." (*Id.* at 1045). Here, Plaintiff established that, as of 6/1/25, Plaintiff had an account balance with Bank of America for $1,335,695.92 which could have been used to fund Plaintiff's portion of the purchase price. (Mrcela

		Decl., ¶ 23). Capital Funding issued a letter of pre-approval on 5/2/25 for the maximum purchase price of $3,400,000. (DiNatale Decl., Ex. A). Capital Funding committed to fund the property purchase with the loan amount of $2,380,000. (Mrcela Decl., ¶ 22; see also DiNatale Decl., ¶ 13 ["After discussions with Mr. Mrcela, Capital Funding reached concrete loan terms with Mr. Mrcela and committed to fund the Property purchase with a loan amount of $2,380,000"]). Accordingly, the court finds that Plaintiff has established that he was ready, willing and able to perform the contract. **<u>Attorneys' Fees</u>** Code Civ. Proc. §405.38 provides: "The court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust." The court finds that Defendants were not without justification in bringing this motion, as the evidence demonstrates that both parties did not timely fulfill their obligations under the VLPA by the stated deadlines. Plaintiff shall give notice.
7	Perez vs. City of Buena Park	**TENTATIVE RULING:** **<u>Motion 1. Motion for Reconsideration</u>** Plaintiff Jenny Perez moves for reconsideration of this court's October 8, 2025, ruling. The hearing is CONTINUED to April 22, 2026, at 9:00 a.m. in this Department. Code of Civil Procedure Section 1005(b) requires that "all moving and supporting papers shall be served and filed at least 16 court days before the hearing." All opposition papers must be filed with the court and a copy served on each party at least nine court days, and all reply papers at least five court days before the hearing. (Code Civ. Proc., § 1005(b).) On 02/27/2026, just 13 court days before the hearing date, Plaintiff filed two "supplemental declarations." (ROA # 104.) The first

		declaration supports the moving papers, and the second declaration explains that Plaintiff inadvertently failed to attach the first declaration to the moving papers. (Perez Supp. Decl. at p. 4, ¶ 3.) Plaintiff files no proof of service of either declaration on Defendant City of Buena Park ("Defendant City"). Plaintiff's reply brief purports to address argument in Defendant City's opposition, but the court record shows no opposition papers filed by Defendant City. Lastly, the court record includes no proof of service of Plaintiff's reply brief on Defendant City. No later than nine (9) court days before the continued hearing, Plaintiff shall file and serve proof of service of the supplemental declarations (ROA # 104) and reply brief (ROA # 109). No later than five (5) court days before the continued hearing, Defendant City of Buena Park shall file and re-serve any opposition papers served on Plaintiff, along with proofs of original service and supplemental service. Clerk is ordered to give notice. **Motion 2. Motion for Relief** Plaintiff Jenny Perez moves for relief under Government Code section 946.6 from the claim-filing requirements of Government Code section 945.4. The hearing is CONTINUED to April 22, 2026, at 9:00 a.m. in this Department. Clerk is ordered to give notice.
8	Wells Fargo Bank vs. Igarashi	**OFF CALENDAR**
9	Chang vs. Sun	**OFF CALENDAR**
10	Lapense vs. Dawes	**OFF CALENDAR**
11	Schneider-Kidan vs. Estate of Leonard Tierney	**TENTATIVE RULING:** For the reasons set forth below, the motion by Defendant Richard Chipman to quash service of summons and first amended complaint is GRANTED.

Plaintiff's Opposition

Plaintiff was previously admonished that the court would not consider any future filings that do not follow the requisite procedural rules. The court informed Plaintiff that filing an oversized combined opposition to multiple pending motions to quash that raise myriad facts and issues not specifically raised in each motion is improper. The court ordered Plaintiff to file a separate, distinct, opposition to each pending motion to quash that does not include irrelevant exhibits or miscellaneous arguments that are not directly relevant to the arguments raised by the pending motion. Despite the court's admonishment, Plaintiff failed to file a distinct and separate opposition that directly addressed only the arguments that Chipman raised. As such, the court will not consider Plaintiff's opposition.

Statement of Law

"In the absence of a voluntary submission to the authority of the court, compliance with the statutes governing service of process is essential to establish that court's personal jurisdiction over a defendant." (Dill v. Berquist Construction Co. (1994) 24 Cal.App.4th 1426, 1439 (Dill).) "When a defendant challenges that jurisdiction by bringing a motion to quash, the burden is on the plaintiff to prove the existence of jurisdiction by proving, inter alia, the facts requisite to an effective service." (Ibid.)

A defendant may move to quash service of summons on the ground the court lacks personal jurisdiction. (Cal. Civ. Proc. Code § 418.10 (a)(1)). By statute, the courts of this state may exercise personal jurisdiction over nonresident defendants to the extent permitted by the United States Constitution. (Cal. Civ. Proc. Code § 410.10.) Under the Constitution, due process requires that a nonresident defendant have "certain minimum contacts" with a forum such that the court's exercise of personal jurisdiction does not offend traditional notions of fair play and substantial justice." (Int'l Shoe Co. v. Wash. (1945) 326 U.S. 310, 316.)

When a nonresident defendant challenges personal jurisdiction the burden shifts to the plaintiff to demonstrate by a preponderance of the evidence that all necessary jurisdictional criteria are met. (Jewish Defense Org. v. Superior Court (1999) 72 Cal.App.4th 1045, 1055). "The plaintiff must do more than merely allege jurisdictional facts; plaintiff must provide affidavits and other authenticated documents demonstrating competent evidence of jurisdictional

		facts." (BBA Aviation PLC v. Superior Court (2010) 190 Cal.App.4th 421, 428–429). "Personal jurisdiction may be had on either a general (all-purpose) or specific (case-linked) basis." (Halyard Health, Inc. v. Kimberly-Clark Corp. (2019) 43 Cal.App.5th 1062, 1070). **General Jurisdiction** General jurisdiction exists where the activities of a non-resident defendant are so "extensive or wide-ranging" or "substantial … continuous and systematic" to establish a constitutionally sufficient relationship to warrant jurisdiction for all causes of action asserted against it. (Cornelison v. Chaney (1976) 16 Cal.3d 143, 147.) "A nonresident defendant is subject to the general jurisdiction of the forum if the defendant is 'essentially at home in the forum State…'" (Halyard, supra, 43 Cal. App. 5th at 1070). Under these standards, the record is insufficient to support general jurisdiction over Defendant Chipman. Defendant Chipman has offered sufficient evidence to establish that he has been a resident of Massachusetts his entire life and does not reside in California, own property in California, or pay taxes in California. Plaintiff has failed to meet her burden to offer admissible, contradictory evidence to establish that Defendant Chipman was "essentially at home" in California and/or Chipman's activities in California are so extensive or wide-ranging or substantial, continuous, and systematic to warrant general jurisdiction. Accordingly, the court finds that plaintiff has failed to meet her burden of providing by competent, admissible evidence that general jurisdiction exists over Defendant Chipman. **Specific Jurisdiction** "A court may exercise specific jurisdiction over a nonresident defendant only if: (1) the defendant has purposefully availed himself or herself of forum benefits; (2) the controversy is related to or arises out of the defendant's contacts with the forum; and (3) the assertion of personal jurisdiction would comport with fair play and substantial justice." (*Snowey* v. Harrah's Entertainment, Inc. (2005) 35 Cal.4th 1054, 1062). A plaintiff opposing a defendant's motion to quash service has the burden of establishing factor Nos. (1) (the defendant's purposeful availment) and (2) (lawsuit relates to the defendant's

		contacts with state)." (People ex rel. Harris v. Native Wholesale Supply Co. (2011) 196 Cal.App.4th 357, 362 [citing Bridgestone Corp. v. Superior Court (2002) 99 Cal.App.4th 767, 774].) This burden must be met by competent evidence in affidavits and authenticated documentary evidence. (Id.) "If the plaintiff does so, the burden then shifts to the defendant to show factor No. (3), that the exercise of jurisdiction would be unreasonable." (People ex rel. Harris, supra, at 362). "These requirements [of specific jurisdiction] are met when a tort claim is based on the actions of a defendant who traveled to a state and, while there, injured the plaintiff." (*Doe v. Damron* (2021) 70 Cal.App.5th 684, 691–692.) Specific jurisdiction, therefore, arises because the defendant's actions—traveling to the state and injuring the plaintiff—took place in the forum state, and the lawsuit arose from those actions. (*Id*.) "Indeed, it is well settled that jurisdiction is proper even when the alleged tort occurred during a single, brief visit." (*Id*.) "The classic example is a visitor who negligently causes a car accident." (*Id*.) Another example would include the court having jurisdiction over a non-resident whose dog bit a California resident while the non-resident and dog were in California. (*Owens v. Superior Court of Los Angeles County* (1959) 52 Cal.2d 822, 830-832.) The *Owens* court explained: "it is reasonable and fair to require a defendant whose voluntary acts have given rise to a cause of action in a state to litigate his responsibility for that conduct at the place where it occurred." (*Id*. at p. 831; see also *Doe*, *supra*, 70 Cal. App. 5th at 689 (court has jurisdiction over non-resident who commits an act of domestic violence in California.) Important to the court's analysis here is Defendant's contacts with California and/or any act or tort Defendant committed in California and/or to a California resident. The evidence in the record does not show that Defendant Chipman made multiple contacts with this state. Although Plaintiff has the burden of establishing jurisdictional facts with competent admissible evidence, Plaintiff has failed to offer any admissible evidence that either Defendant Chipman was in California at the time of any alleged misconduct, that Defendant Chipman purposefully availed himself to the benefits of California, and/or that this controversy is related to defendant's contacts with California. Accordingly, the court finds that Plaintiff has failed to meet her burden of establishing by admissible, competent evidence that the court may exercise specific jurisdiction over Defendant Chipman.

		The motion is, therefore, granted. Moving Defendant to give notice.
12	ZZTEK, Inc. vs. Yari	**TENTATIVE RULING:** For the reasons set forth below, Ali R. Mirhosseini/Mirhosseini Law Group, APC's motions to be relieved as counsel for Defendants and Cross-Complainants Behzad Yari and BY Consulting, LLC is CONTINUED to April 22, 2026, at 9:00 a.m. in this Department. An attorney may move for an order to be relieved as counsel. (Code Civ. Proc., § 284(2).) Rule of Court 3.1362 sets forth the requirements for a motion to be relieved as counsel: (1) a notice of motion and motion to be relieved as counsel must be directed to the client and be made on Judicial Council form MC-051; (2) the motion must be accompanied by a declaration on Judicial Council form MC-052 and state in general terms and without compromising attorney-client confidentiality why the motion is being brought; (3) the notice of motion, motion, declaration, and the proposed order must be served on the client and all other parties who have appeared in the case; (4) if served on the client by mail, it must be accompanied by a declaration stating facts to show either: (a) the service address is the current residence or business address of the client or (b) the service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable effort to do so within 30 days before filing the motion; (5) the proposed order must be prepared on Judicial Council form MC-053, specify all hearing dates scheduled, and lodged with the court with the moving papers; (6) after the order is signed, a copy of the order must be served on the client and all parties that have appeared in the case; and (7) the court may delay the effective date of the order relieving counsel until proof of service of a copy of the signed order on the client has been filed with the court. (Rules of Court, rule 3.1262.) Counsel used the correct forms, and submitted separate motions for each Defendant/Cross-Complainant. (MC-051, MC-052, and MC-053). Defendants' counsel seeks an order relieving him as counsel of record for Defendants/Cross-Complainants Behzad Yari and BY Consulting, LLC.

		Counsel declares that circumstances have arisen that affected his ability to represent Defendants/Cross-Complainants, and that there has been an irreconcilable breakdown in the attorney-client relationship. Counsel has stated adequate grounds for relief. (See Cal. Rules of Court, rule 3.1362; Code Civ. Proc., § 284, subd. (2)). With regards to service, Counsel attested in his declaration that he mail-served the documents at the clients' last known address, and that he confirmed the address was current via email communications. The proofs of service for both motions attests to mail service, and counsel also submitted a declaration attesting to electronic service. However, since the filing and service of the instant motions, Moving Counsel moved ex parte to advance the hearing dates for both motions, and on 2/18/26, the court advanced the hearing dates from 4/29/26 3/18/26. (ROA 217). The court ordered the clerk to give notice, and notice was given to Moving Counsel. (ROA 218). However, there is no indication in the file that Moving Counsel provided notice to his clients of the advanced hearing date. For the above reasons, the motion is continued to April 22, 2026, at 9:00 a.m. in this Department, and Moving Counsel is ordered to file a proof of service for the next hearing date. Moving Counsel to give notice.
13	Salari v. Man	**TENTATIVE RULING:** **<u>Motion to Set Aside</u>** Petitioner Seyedjalil Mirjafarifiroozabadii moves to set aside the March 19, 2025, dismissal of this matter. For the following reasons, the motion is DENIED. **<u>Statement of Law</u>** Code Civ. Proc. § 473(b) provides in pertinent part, > "The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall

		not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. . . . Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect. The court shall, whenever relief is granted based on an attorney's affidavit of fault, direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties." In other words, Code Civ. Proc. § 473(b) permits a court to grant relief from a judgment, dismissal, order or other proceeding taken against a party on the grounds of "mistake, inadvertence, surprise or excusable neglect." Code Civ. Proc. § 473(b) permits a court to grant two types of relief. (*Leader v. Health Industries of Am., Inc.*, 89 Cal. App. 4th 603, 615 (2001).) A court **may** grant discretionary relief upon the moving party's showing of mistake, inadvertence, surprise or excusable neglect. (*Id.* at 615-616.) A court **must** grant mandatory relief upon a showing by an attorney declaration of mistake, inadvertence, surprise or neglect. (*Id*. at 616.) Here, Plaintiff appears to base the motion on the discretionary ground of mistake, inadvertence, and excusable neglect. A motion seeking relief under Section 473(b) must be brought within 6 months of entry of the judgment. (Civ. Proc. Code § 473(b); *Jimenez v. Chavez* (2023) 97 Cal.App.5th 50, 54 ["We conclude that the six-month limitations period of the mandatory and discretionary relief provisions of section 473(b) is either 182 days or six calendar months, whichever period is longer."].) On March 19, 2025, the Court granted Defendant's motion to dismiss this action for lack of prosecution and dismissed this action without prejudice. Plaintiff filed this motion on September 17, 2025, 182 days after March 19, 2025. Thus, the motion is timely.

Merits

Plaintiff Ray Salari passed away on August 12, 2024. (ROA 246.) On September 20, 2024, Defendant filed a motion to dismiss this action for lack of prosecution, which was scheduled to be heard on March 19, 2025.

On September 23, 2024, Seyedjalil Mirjafarifiroozabadi (aka Omid Jafari) filed a motion to be appointed successor in interest to Plaintiff and continue this lawsuit, which this Court denied on November 6, 2014, without prejudice for moving party's failure to properly serve the motion, failure to be represented by counsel, and failure to file the declaration required by Code Civ. Proc. § 377.31. (ROA 273.)

Seyedjalil Mirjafarifiroozabadi did not file a corrected motion to be appointed successor in interest in the ensuing months, even though the motion to dismiss was still scheduled for March 19, 2025. On March 19, 2025, the Court granted Defendant's motion to dismiss this action for lack of prosecution and dismissed this action without prejudice. (ROA 288.)

Seyedjalil Mirjafarifiroozabadi then filed this motion on September 17, 2025, claiming that Mirjafarifiroozabadi "acted promptly to retain counsel and pursue the Estate's claims." (Motion at 4:16.) Mirjafarifiroozabadi does not provide any justification for why this motion was filed 182 days after the March 19, 2025, order granting Defendant's motion to dismiss this action for lack of prosecution. Plaintiff has not shown that excusable neglect for such a delay.

However, even if the Court were to find that Plaintiff has shown that the dismissal was taken as a result of Plaintiff's mistake or excusable neglect, this action is barred by the five year deadline in Code Civ. Proc. § 583.310. A plaintiff must bring an action to trial within five years after the action is commenced against the defendant. (Code Civ. Proc. § 583.310.) The Court may dismiss an action, on the Court's own motion or on the defendant's motion, after notice to the parties when the action is not brought to trial within this time period. (Code Civ. Proc. § 583.360(a).)

On February 23, 2026, the Court continued the hearing on this matter to allow Plaintiff an opportunity to address Section 583.310.

Plaintiff contends that the timespan between Ray Salari's death on August 12, 2024, and Plaintiff's recognition as executor on March 16, 2025 – a time span of 7 months and 4 days – does not count towards the Section 583.310's five year deadline. Even if that 7

		month period were excluded from consideration of the five year deadline, a review of the record shows that dismissal under Section 583.360 is still warranted. This action was filed on May 26, 2020 – more than 5 years and 9 months ago. Thus, reducing that period by 7 months still leads to the conclusion that this case has not timely been brought to trial. Plaintiff's reference to time spent discussing a settlement with Defendant or Defendant's counsel does not change this analysis. (See, e.g., *Lesko v. Superior Court* (1982) 127 Cal.App.3d 476, 484 [Settlement negotiations does not prevent dismissal for delay in service of summons.].) The motion is denied and this action is dismissed pursuant to Code Civ. Proc. §§ 583.310 and 583.360. The Court Clerk shall give notice of this ruling.
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